

Multiple Choice

1. **Answer:** A

Options: A) remain constant and taxes rise.; B) fluctuate and taxes rise.; C) fall and taxes remain constant.; D) rise and taxes fall.; E) and taxes rise.

Note: Correct option: A - remain constant and taxes rise.

2. **Answer:** E

Options: A) The monopoly would make an economic profit.; B) The monopoly would break even.; C) The monopoly would increase its prices.; D) The deadweight loss in this market would increase.; E) The deadweight loss in this market would decrease.

Note: Correct option: E - The deadweight loss in this market would decrease.

3. **Answer:** A

Options: A) A price ceiling will have no effect on the quantity of the good supplied.; B) A price ceiling will cause a shift in the supply curve for the good.; C) A price ceiling always results in a surplus of the good.; D) A price ceiling will increase the total revenue of buyers.; E) An effective price ceiling must be at a price above the equilibrium price.

Note: Correct option: A - A price ceiling will have no effect on the quantity of the good supplied.

4. **Answer:** A

Options: A) The United States begins to import rice to make up for a domestic shortage.; B) The United States begins to export rice to make up for a domestic shortage.; C) The United States begins to import rice to eliminate a domestic surplus.; D) The United States begins to export rice to eliminate a domestic surplus.

Note: Correct option: A - The United States begins to import rice to make up for a domestic shortage.

5. **Answer:** A

Options: A) expansionary monetary policy by lowering the discount rate.; B) expansionary monetary policy by selling Treasury securities.; C) contractionary monetary policy by raising the discount rate.; D) contractionary monetary policy by lowering the discount rate.

Note: Correct option: A - expansionary monetary policy by lowering the discount rate.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'An increase in total spending that is not the result of an increase in income'.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Expectations of surpluses of goods in the future'.

Long Form Response

11. **Answer:** \$4000. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** A downward sloping supply curve.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key